

110	Clay vs. Delgadillo, 23-01359983	Plaintiff/Cross-Defendant, Jerome Anthony Clay, Jr. ("Clay"), and Cross-Defendant, The Law Office of Jerome A. Clay, A.P.C. ("Clay Law Office") (collectively, "Cross-Defendants") move for an order quashing the Deposition Subpoena for Production of Business Records issued by Defendants/Cross-Complainants, Frank Delgadillo, Jr.; Dessau, Inc.; and M86CEM, LLC (collectively, "Cross-Complainants") to Wells Fargo National Association on January 8, 2026 (the "Deposition Subpoena"). Cross-Defendants bring the subject motion pursuant to Code of Civil Procedure sections 1987.1 Cross-Defendants contend that the Deposition Subpoena consists of 27 document requests which seek documents relating to several Wells Fargo accounts tied to Clay's personal CLAY J PREFERRED CHECKING xxxxxx2531, Law Office operating LAW OFFICE OF JEROME A CLAY A DDA xxxxxx9821, and IOLTA xxxxxx5122 accounts, as well as internal bank records reflecting transactions and account activity. Cross-Defendants contend these requests violate Cross-Defendants' constitutional right to privacy under Article I, section 1 of the California Constitution, including confidential personal and law practice financial information and the attorney client privilege and work product doctrine. Cross-Defendants additionally assert that the Deposition Subpoena is overbroad, unduly burdensome, and not proportional to the needs of the case. Cross-Defendants thus contend that the Court should exercise its discretion under section 1987.1 to quash the Subpoena in its entirety, or alternatively, enter a protective order to ensure any compelled discovery is narrowly tailored, proportionate, and subject to confidentiality safeguards. Defendants/Cross-Complainants, M86CHEM, LLC; Dessau, Inc., and Frank Delgadillo ("Delgadillo Jr.") (collectively, "Cross-Complainants") contend that the motion should be denied as the Deposition Subpoena is narrowly tailored, directly relevant to the claims and defenses, and supported by bank records produced in prior discovery. Cross-Complainants contend that the information sought in the Deposition Subpoena is specific to the instant wire transfer of \$2,640,000 from Meiwa Engineering in Japan to the IOLTA of Clay Law Office as fiduciary for M86CHEM, LLC, the legal grantor, secondary beneficiary, and only "client" of the client-trust fund, and that the additional requests seek records showing whether those funds were transferred to authorized recipients or to persons and accounts outside the permitted disbursement instructions. Cross-Complainants contend that the document requests do not violate Cross-Defendants right to privacy as the records sought are directly relevant to Cross-Complainants' claims of fraud, conversion, and breach of fiduciary duty that goes to the very heart of the asserted
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		fee dispute. Cross-Complainants also assert that the claims of attorney-client privilege and work product have no merit. Code of Civil Procedure section 1987.1 applies to a deposition subpoena. (Code Civ. Proc. § 2020.030.) Code of Civil Procedure section 1987.1 provides, in pertinent part: “[T]he court, upon motion reasonably made by [a party, witness, consumer, or employee] ... may make an order quashing the subpoena entirely, modifying it, or directing compliance with it upon those terms or conditions as the court shall declare, including protective orders. In addition, the court may make any other order as may be appropriate to protect the person from unreasonable or oppressive demands, including unreasonable violations of the right of privacy of the person.” (Code Civ. Proc. § 1987.1, subds. (a)-(b).) There is no showing that the instant motion to quash has been “reasonably made.” There has been no attempt to resolve the parties’ dispute as to the requests for production in the Deposition Subpoena. Despite this, the Court will address the merits of the motion. As a threshold matter, Cross-Complainants withdraw Request Nos. 18 and 24 as premature. <i>Requests in Subject Deposition Subpoena</i> The Deposition Subpoena includes 27 requests. The following 25 requests remain at issue: 1. All DOCUMENTS and COMMUNICATIONS reflecting any instructions, directives and/or agreements accompanied with the IOLTA account at WELLS FARGO ACCOUNT ending in 5122 for the benefit of the LAW OFFICE OF JEROME A. CLAY, including but not limited to engagement letters, retainer agreements or fiduciary instructions from September 1, 2022, to present identifying clients M86CHEM, LLC, DESSAU, Inc. and/or FRANK DELGADILLO. This includes all internal account notes, branch notes, customer contact logs, case management records, and risk or compliance review notes relating to IOLTA account ending 5122 from September 1, 2022, through October 31, 2022. 2. All DOCUMENTS and COMMUNICATIONS identifying: the individual(s) who initiated or authorized each transfer, the method of initiation (online banking, branch visit, wire desk), any device, IP address, authentication method, or branch location and employee involvement for all transfers from the WELLS FARGO ACCOUNT ending in 5122 (IOLTA) account between September 15, 2022, and October 4, 2022. 3. All DOCUMENTS and COMMUNICATIONS reflecting WELLS FARGO’s designation, classification, or understanding of the
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	account ending 5122 as: an IOLTA account; a client trust account; or subject to attorney trust restrictions. 4. All non-SAR documents reflecting automated alerts, exception reports, internal transaction reviews, or threshold-based monitoring triggered by the inbound international wire to, or any withdrawal, from WELLS FARGO ACCOUNT ending in 5122 (IOLTA) exceeding \$100,000 for the period September-October 2022. 5. All communications (emails, messages, call logs, correspondence) between Wells Fargo and Jerome A. Clay, the Law Office of Jerome A. Clay, APC, or any authorized representative concerning: the WELLS FARGO ACCOUNT ending in 5122 (IOLTA); the inbound wire; or any withdrawals/transfers in September-October 2022. 6. All documents reflecting stated purpose, justification, or explanation for the inbound international wire, and each outgoing transfer from the WELLS FARGO ACCOUNT ending in 5122 (IOLTA). 7. All DOCUMENTS and COMMUNICATIONS reflecting the interest transfer (Int Transferred) in the amount of \$1813.40 from the WELLS FARGO ACCOUNT ending in 5122 made payable to CA000000510710530 on or about September 30, 2022, and the identity of the real party of interest of said account. 8. All DOCUMENTS and COMMUNICATIONS reflecting the online transfer in the amount of \$40,000.00 from the WELLS FARGO ACCOUNT ending in 5122 made payable to CLAY J PREFERRED CHECKING xxxxxx2531 on or about October 3, 2022. 9. All DOCUMENTS and COMMUNICATIONS reflecting the online transfer in the amount of \$30,000.00 from the WELLS FARGO ACCOUNT ending in 5122 made payable to CLAY J PREFERRED CHECKING xxxxxx2531 on or about October 3, 2022. 10. All DOCUMENTS and COMMUNICATIONS reflecting the online transfer in the amount of \$10,000.00 from the WELLS FARGO ACCOUNT ending in 5122 made payable to CLAY J PREFERRED CHECKING xxxxxx2531 on or about October 4, 2022. 11. All DOCUMENTS and COMMUNICATIONS reflecting the online transfer (Transfer IN Branch/Store) in the amount of \$1,000,000.00 from the WELLS FARGO ACCOUNT ending in 5122 made payable to LAW OFFICE OF JEROME A CLAY A DDA xxxxxx9821 on or about October 4, 2022.
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		12. All DOCUMENTS and COMMUNICATIONS reflecting the online transfer (Transfer INBranch/Store) in the amount of \$969,924.00 from the WELLS FARGO ACCOUNT ending in 5122 made payable to LAW OFFICE OF JEROME A CLAY A DDA xxxxxx9821 on or about October 4, 2022. 13. All DOCUMENTS and COMMUNICATIONS reflecting the interest transfer (Int Transferred) in the amount of \$368.14.00 from the WELLS FARGO ACCOUNT ending in 5122 made payable to CA000000510710530 on or about October 4, 2022 and the identity of the real party of interest of said account. 14. All DOCUMENTS and COMMUNICATIONS reflecting any online transfers from CLAY J PREFERRED CHECKING xxxxxx2531, from October 3, 2022, including but not limited to any transfers to the LAW OFFICE OF JEROME A CLAY A DDA xxxxxx9821 (WELLS FARGO ACCOUNT ending in 9821). 15. All DOCUMENTS and COMMUNICATIONS reflecting any online transfers from CLAY J PREFERRED CHECKING xxxxxx2531, from October 4, 2022, to date, including but not limited to any transfers to Aero Title Bond and Insured. 16. All DOCUMENTS and COMMUNICATIONS reflecting any online transfers from CLAY J PREFERRED CHECKING xxxxxx2531, from October 4, 2022, to date, including but not limited to any transfers to My Flight, LLC. 17. All DOCUMENTS and COMMUNICATIONS reflecting any online transfers from CLAY J PREFERRED CHECKING xxxxxx2531, from October 4, 2022, to date, including but not limited to any transfers to Lone Mountain Aviation, Inc. 19. All DOCUMENTS and COMMUNICATIONS reflecting any online transfers from LAW OFFICE OF JEROME A CLAY A DDA xxxxxx9821 (WELLS FARGO ACCOUNT ending in 9821), from October 4, 2022, to date, including but not limited to any transfers to Aero Title Bond and Insured. 20. All DOCUMENTS and COMMUNICATIONS reflecting any online transfers from LAW OFFICE OF JEROME A CLAY A DDA xxxxxx9821 (WELLS FARGO ACCOUNT ending in 9821), from October 4, 2022, to date, including but not limited to any transfers to My Flight, LLC. 21. All DOCUMENTS and COMMUNICATIONS reflecting any online transfers from LAW OFFICE OF JEROME A CLAY A DDA xxxxxx9821 (WELLS FARGO ACCOUNT ending in 9821), from October 4, 2022, to date, including but not limited to any transfers to Lone Mountain Aviation, Inc.
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		22. All DOCUMENTS and COMMUNICATIONS reflecting any online transfers from LAW OFFICE OF JEROME A CLAY A DDA xxxxxx9821 (WELLS FARGO ACCOUNT ending in 9821), from October 4, 2022, to date, including but not limited to any transfers to OMAR KABILJAGIC. 23. All DOCUMENTS and COMMUNICATIONS reflecting any authorization, justification, or explanation provided to Wells Fargo for any transfers from the LAW OFFICE OF JEROME A. CLAY A DDA account xxxxxx9821 to OMAR KABILJAGIC. 25. Any and all bank withdrawal transactions to show where to show where the amount of \$2,640,000.00 went, directly or indirectly, after the wire transfer into the WELLS FARGO ACCOUNT ending in 5122. 26. All COMMUNICATIONS reflecting the withdrawals and payments from the \$2,640,000.00 wired into the above-described WELLS FARGO ACCOUNT ending in 5122 from the date of the deposit of those funds to present. 27. All DOCUMENTS including but not limited to checks, wire transfers, debit and credit transactions reflecting the withdrawals and payments from the \$2,640,000.00 wired into the above described WELLS FARGO ACCOUNT ending in 5122 from the date of the deposit of those funds to present. <i>Attorney-Client Privilege and Work Product</i> Cross-Defendants assert in conclusory fashion that the Deposition Subpoena intrudes into attorney-client communications safeguarded by Evidence Code section 954, and the attorney work product absolutely protected under Code of Civil Procedure section 2018.030. When a responding party asserts claims of privilege or attorney work product protection, the responding party must provide sufficient factual information to enable the parties and the court to evaluate the merits of a claim, including, if necessary, a privilege log. (Code Civ. Proc. § 2031.240(c)(1); <i>Riddell, Inc. v. Superior Court</i> (2017) 14 Cal.App.5th 755, 772.) "The party claiming the privilege has the burden of establishing the preliminary facts necessary to support its exercise, i.e., a communication made in the course of an attorney-client relationship." (<i>Costco Wholesale Corp. v. Superior Court</i> (2009) 47 Cal.4th 725, 733.) In addition, "[t]he person claiming protection under the attorney work product doctrine bears the burden of proving the preliminary facts to show the doctrine applies. [Citation.]" (<i>League of California Cities v. Superior Court</i> (2015) 241 Cal.App.4th 976, 993.)
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Here, Cross-Defendants have not establish the preliminary facts necessary to show the application of the attorney-client privilege or attorney work product doctrine, and thus, have failed to meet their burden to show that either applies to the requests at issue.

Similarly, Cross-Defendants make the conclusory assertion that the Deposition Subpoena seeks confidential attorney trust account information governed by Business and Professions Code section 6211 and Rule 1.15 of the California Rules of Professional Conduct, which impose strict duties of confidentiality and nondisclosure relating to IOLTA and client fund activity. Cross-Defendants provide no discussion of the rules cited and their application to any of the requests at issue. The court may “disregard conclusory arguments that are not supported by pertinent legal authority or fail to disclose the reasoning by which [a party] reached the conclusion [he or she] wants [the court] to adopt.” (*United Grand Corp. v. Malibu Hillbillies, LLC* (2019) 36 Cal.App.5th 142, 153 citing *City of Santa Maria v. Adam* (2012) 211 Cal.App.4th 266, 287.)

Privacy

There is a constitutional right to privacy in financial information. (*Valley Bank of Nevada v. Superior Court* (1975) 15 Cal.3d 652, 655-656; *Cobb v. Superior Court* (1979) 99 Cal.App.3d 543, 550.) “The right of privacy protects against the unwarranted, compelled disclosure of private or personal information and ‘extends to one’s confidential financial affairs as well as to the details of one’s personal life.’ [Citation.]” (*SCC Acquisitions, Inc. v. Superior Court* (2015) 243 CalApp.4th 741, 754.) The zone of privacy protected by Article I, Section 1 of the California Constitution encompasses personal financial information, but does not provide absolute protection. (*Ibid.*)”

Here, the 27 document requests seek bank records and other related information/documents concerning three accounts: the IOLTA account ending in 5122, Clay’s personal checking account ending in 2531, and Clay Law Office’s operating account ending in 9821.

The bank records and other documents sought in the instant Deposition Subpoena are directly relevant to the subject matter of the instant action. The Complaint alleges that Clay entered into a Retainer Agreement with Defendants, that the Retainer Agreement was signed at a fixed price, that Delgadillo was required to deposit a \$2,640,000 retainer fee into Clay’s IOLTA account, and that Delgadillo deposited a \$2,640,000 retainer fee to IOLTA. (See Complaint, ¶¶ 11, 13-14, 26-27.) The Complaint alleges that Delgadillo is breaching the Retainer Agreement by demanding the return of the retainer fee that was deposited to the IOLTA, and

		based thereon, among other allegations, asserts causes of action for breach of contract, breach of the implied covenant of good faith and fair dealing, and declaratory relief. (Complaint, ¶ 30, 40(C), 56-57, 59.) Additionally, the Cross-Complaint asserts claims for breach of fiduciary duty, promissory fraud breach of contract, unjust enrichment, and conversion of funds, and seeks recovery of funds in excess of \$2,265,000 in converted funds and unrefunded retainer fees from Cross-Defendants concerning the \$2,640,000, as well as other additional payments made to Clay Law Firm, based upon Clay and Clay Law Firm's position as general corporate counsel for M86CHEM, LLC in exchange for a monthly retainer of \$5,000, and a paymaster agreement between M86CHEM, LLC and Clay whereby Clay was to be paid \$40,000 to hold all funds paid by a Japanese company, Meiwa Engineering, Inc. in trust in Clay Law Firm's IOLTA account. (See ROA 82, First Amended Cross-Complaint, ¶¶ 17-24.) Cross-Complainants allege that Clay spent more than \$400,000 in November 2022, to purchase a Cirrus aircraft, and that Clay had purchased a second aircraft with \$350,000, from funds from the IOLTA. (Id., ¶¶ 40, 52; ROA 345, Declaration of Frank Delgadillo, Jr., ¶¶ 16-17, Exs. C-G.) Based on the foregoing, the financial information sought concerning the deposit of \$2,640,000 into the IOLTA, and subsequent withdrawals and/or transfers of those funds are directly relevant to the subject matter of this action. Under these circumstances, while Clay may have a privacy right in his personal checking account ending in 2531, Clay's privacy rights do not outweigh Cross-Complainants' compelling and countervailing interests in disclosure given the relevance of the documents sought. Request Nos. 8, 9, 10, 14, 15, 16, and 17 concern Clay's personal checking account ending in 2531. The records sought are narrowly tailored, as specific to a transaction, except Request Nos. 14-17, which are overbroad as discussed below. Significantly, the IOLTA records produced by Wells Fargo in response to a prior deposition subpoena reflects that the wire transfer in the amount of \$2,640,000 was received on September 13, 2022, with multiple transfers of large amounts to Clay's personal checking ending in 2531 and the operating account of Clay Law Office ending in 9821, among others, from September 15, 2022, through October 4, 2022, amounting to withdrawals in the amount of \$2,642,181.54, indicating that the entirety of the wire transfer had been transferred out of the IOLTA by October 4, 2022. (ROA 353, Ex. C to the Declaration of Stephan M. Brown.) In light of the above, Cross-Defendants do not show an objectively reasonable expectation of privacy in the given circumstances. Cross-Defendants do not otherwise establish that Clay Law Firm has a privacy right to the operating account ending in 9821. Corporations do not have a right of privacy protected
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		by the California Constitution. (<i>SCC Acquisitions, Inc. v. Superior Court</i> (2015) 243 Cal.App.4th 741, 755-756.) Because the corporate privacy right is not constitutionally protected, the issue presented in determining whether a request for production infringes that right is resolved by a balancing test. (<i>Id.</i> at p. 756.) "The discovery's relevance to the subject matter of the pending dispute and whether the discovery 'appears reasonably calculated to lead to the discovery of admissible evidence' is balanced against the corporate right of privacy. [Citation.] Doubts about relevance generally are resolved in favor of permitting discovery." (<i>Ibid.</i>) Even assuming Clay Law Office had a financial right of privacy in the IOLTA account (Request Nos. 1-7, 13, 25-27) or the operating account (Request Nos. 11, 12, 18-24), the relevance of the document requests to the subject matter of this action outweigh any such interest. The requests are narrowly tailored by specific transaction, except Request Nos. 19-23 and 25-27, which are overbroad as discussed below. Cross-Defendants cite to <i>McGovern v. BHC Fremont Hospital, Inc.</i> (2022) 87 Cal.App.5th 181, as confirming "that courts must curtail overreaching demands for sensitive financial materials when the proponent has not shown a sufficiently focused need," and that the case emphasized that there must be a showing that the scope of the request outweighs privacy concerns. (Motion, 9:20-10:2.) However, that case did not involve financial privacy and was concerned with the privacy of mental health records pursuant to Welfare and Institutions Code section 5328, and exceptions thereto. (<i>McGovern v. BHC Fremont Hospital, Inc.</i> (2022) 87 Cal.App.5th 181, 196.) As such, it is not applicable to the case at issue. <i>Overbreadth and Oppression</i> "Civil discovery is intended to operate with a minimum of judicial intervention. [I]t is a central precept of the Civil Discovery Act ... that discovery be essentially self-executing[.] [Citations]." (<i>Sinaiko Healthcare Consulting, Inc. v. Pacific Healthcare Consultants</i> (2007) 148 Cal.App.4th 390, 402.) "When discovery requests are grossly overbroad on their face, and hence do not appear reasonably related to a legitimate discovery need, a reasonable inference can be drawn of an intent to harass and improperly burden." (<i>Obregon v. Superior Court</i> (1998) 67 Cal.App.4th 424, 431.) The Court finds Request No. 6 to be overbroad as to time and therefore limits the request to October 2022-September 2022. The Court finds Request Nos. 14-17 and 19-23 to be overbroad as to time as the records sought are from October 2022, "to date." The Court limits these requests to documents from October 2022 to October 2023. The First Amended Cross-Complaint alleges that Clay Law Firm was
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		sent a formal demand letter for an accounting on or about September 27, 2023. (ROA 82, First Amended Cross-Complaint, ¶ 48.) The Court finds Request No. 14 seeking all documents and communications reflecting any online transfer from Clay's personal checking from October 3, 2022, including but not limited to any transfers to the operating account for Clay Law Office is overbroad in scope and time. The Motion to Quash is GRANTED as to Request No. 14. The Courts finds Request Nos. 25-27 to be overbroad on their face. The Motion to Quash is GRANTED as to Request Nos. 25-27. To the extent that Cross-Defendants claim that the Deposition Subpoena is oppressive, no showing is made that it creates an unreasonable burden or that the ultimate effect of the burden is incommensurate with the result sought. "Oppression must not be equated with burden. The objection based upon burden must be sustained by evidence of showing the quantum of work required, while to support an objection of oppression there must be some showing either of an intent to create an unreasonable burden or that the ultimate effect of the burden is incommensurate with the result sought." (<i>West Pico Furniture Co. of Los Angeles v. Superior Court</i> (1961) 56 Cal.2d 407, 417 [interrogatories].) Based on the foregoing, in sum, the motion to quash is DENIED as to Request Nos. 1-13, 15-17, and 19-23, subject to the limitations set forth above. The motion to quash is GRANTED as to Request Nos. 14, and 25-27. As a number of the requests may implicate the privacy rights of third parties, the Court ORDERS the parties to submit a joint stipulation and protective order as to confidentiality to protects such privacy interests, within 20 days, for the Court's approval. Wells Fargo is ORDERED to produce responsive documents within 30 days after receiving notice of the approved stipulation and protective order. <i>Cross-Complainants to give notice.</i>
111	Elsaey vs. Premier Chrysler Dodge Jeep Ram of Buena Park, 24-01413332	Defendant, Premier Automotive of Placentia LLC dba Premier Chrysler Dodge Jeep Ram of Buena Park ("Premier"), moves for an order granting summary judgment in favor of Premier and against Plaintiffs, Amir Elsaey and Magdalena Elsaey ("Plaintiffs"). In the alternative, Premier moves for summary adjudication as to the claims for premises liability, negligence and loss of consortium on the grounds that they are barred